

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,
Complainant,

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED AND OOCL
(EUROPE) LTD.

Respondents & Third-Party Complainants

v.

SAMSUNG ELECTRONICS COMPANY, LTD.,
Third-Party Respondent.

**COMPLAINANT’S OPPOSITION TO RESPONDENTS’
MOTION FOR RECONSIDERATION**

Complainant Samsung Electronics America, Inc. (“Complainant” or “SEA”), by its undersigned attorneys, respectfully submits its Opposition to the Motion for Reconsideration (the “Motion”) submitted by Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL” or “Respondents”).

Although the Motion is directed specifically to the order of the Administrative Law Judge (the “ALJ”) ordering OOCL to file a Supplemental Brief explaining why its Third Party Claim against Samsung Electronics Company, Ltd. (“SEC”) (Doc. No. 49), SEA opposes the Motion on the grounds that it is baseless – indeed frivolous – and serves only to further delay the proceedings in this matter.

ARGUMENT

I. OOCL'S MOTION FOR RECONSIDERATION HAS NO BASIS AND SHOULD BE SUMMARILY REJECTED

The Federal Maritime Commission regulations address petitions for reconsideration only in the context of a final decision or order by the Commission. 46 C.F.R. § 502.261. A petition under that Rule is subject to summary rejection unless the petition:

- (1) Specifies that there has been a change in material fact or in applicable law, which change has occurred after issuance of the decision or order;
- (2) Identifies a substantive error in material fact contained in the decision or order; or
- (3) Addresses a finding, conclusion or other matter upon which the party has not previously had the opportunity to comment or which was not addressed in the briefs or arguments of any party. Petitions which merely elaborate upon or repeat arguments made prior to the decision or order will not be received. A petition shall be verified if verification of the original pleading is required and shall not operate as a stay of any rule or order of the Commission.

While OOCL's request is not for reconsideration of a final decision or order by the Commission, OOCL has not provided any basis to suggest that its Motion satisfies any of the foregoing requirements. Accordingly, OOCL's Motion should be summarily rejected.

If the ALJ nonetheless determines that the reconsideration of an interlocutory order may be entertained, the ALJ could find that, as a situation not covered by a specific Commission rule, the Federal Rules of Civil Procedure ("FRCP") are to be followed to the extent that they are consistent with sound administrative practice, in accordance with 46 C.F.R. § 502.12. FRCP 54(b) states that "...any order or other decision, however designated, that adjudicates fewer than all the claims or the rights and liabilities of fewer than all the parties does not end the action as to any of the claims or parties and may be revised at any time before the entry of a judgment adjudicating all the claims and all the parties' rights and liabilities."

When a court considers a Rule 54(b) motion, the court looks to whether the party moving for reconsideration has demonstrated: (1) an intervening change in the law; (2) the discovery of new evidence not previously available; or (3) a clear error of law. *See, e.g., United States v. All Assets Held at Bank Julius, Baer & Co., Ltd.*, 308 F. Supp. 3d 186, 192–93 (D.D.C. 2018). These are substantively the same requirements for reconsideration of a final decision or order by the Commission; and are absent in OOCL’s Motion. Accordingly, the ALJ should reject the Motion as insufficient.

II. OOCL MISAPPREHENDS THE ORDER

OOCL’s Motion concedes that an ALJ has broad authority to manage a case to provide for the efficient disposition of the matters presented, as detailed in 46 C.F.R. § 502.25. Yet OOCL appears to fail to recognize that the Order to file a Supplemental Briefing was raised *sua sponte* by the ALJ for the purpose of promoting the efficient resolution of the matter.

Commission precedents unequivocally provide that an ALJ has the authority to dismiss allegations for failure to state a claim on its own initiative (*sua sponte*), as long as the procedure employed is fair to the parties. *See, e.g., MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, Dkt. 16-16, 2 F.M.C.2d 198, 2020 WL 13512925 (FMC, Oct. 29, 2020); *Santa Fe Discount Cruise Parking, Inc. v. Bd. of Trustees of the Galveston Wharves*, Dkt. 14-06, 2014 WL 7404584, at *12 (ALJ, Nov. 21, 2014)).

Further, while a dismissal for failure to state a claim under FRCP 12(b)(6) raised by the ALJ *sua sponte* is typically only appropriate only after service of process, a court is required to dismiss a complaint at any time, including prior to service, upon determination that the court lacks subject matter jurisdiction, pursuant to FRCP 12(h)(3). Such a lack of jurisdiction may be found where the claims are “wholly insubstantial and frivolous.” *See, e.g., Hagans v. Lavine*, 415 U.S. 528, 536 (1974) (“Over the years this Court has repeatedly held that the federal courts

are without power to entertain claims otherwise within their jurisdiction if they are ‘so attenuated and unsubstantial as to be absolutely devoid of merit,’”); *Bell v. Hood*, 327 U.S. 678, 682–83 (1946) (“a suit may sometimes be dismissed for want of jurisdiction where the alleged claim under the Constitution or federal statutes clearly appears to be immaterial and made solely for the purpose of obtaining jurisdiction or where such a claim is wholly insubstantial and frivolous.”); *Chong Su Yi v. Soc. Sec. Admin.*, 554 F. App’x 247, 248 (4th Cir. 2014) (“because a court lacks subject matter jurisdiction over an obviously frivolous complaint, dismissal prior to service of process is permitted.”); *Ricketts v. Midwest Nat. Bank*, 874 F.2d 1177, 1181–82 (7th Cir. 1989) (“At the first tier of review, the district court must assess the substantiality of the constitutional or federal statutory allegations of the complaint to determine ... whether they are “wholly insubstantial and frivolous.” [If so,] the complaint must be dismissed for want of subject matter jurisdiction.” (internal citations omitted); *see also id.* at 1180 (“the substantiality doctrine requires that a federal district court entertain a complaint seeking recovery under the Constitution or laws of the United States, unless the alleged federal claim either “clearly appears to be immaterial and solely made for the purpose of obtaining jurisdiction or where such a claim is wholly insubstantial and frivolous.”); *Franklin v. State of Or., State Welfare Div.*, 662 F.2d 1337, 1342 (9th Cir. 1981) (“A judge, however, may dismiss an action *sua sponte* for lack of jurisdiction. In contrast to dismissals for failure to state a claim, if the court lacks subject matter jurisdiction, it is not required to issue a summons or follow the other procedural requirements.” (internal citations omitted)).

III. THE ORDER PRESCRIBES A REASONABLE AND FAIR PROCESS

The procedure ordered by the ALJ directs a fair process that protects the due process rights of OOCL, expressly allowing OOCL be given an opportunity to explain why the Third-Party Complaint should not be dismissed. The inclusion of an optional response by SEC is not

unfair, and OOCL has not argued otherwise. The Order thus furthers the goal of moving these proceedings forward notwithstanding an apparent lack of effort to effect service on the part of OOCL.

IV. THE ORDER DISMISSING OOCL'S COUNTERCLAIM (DOC. 38) REMAINS OPERATIVE

a. The ALJ does not rely on the Order of Dismissal

Notwithstanding OOCL's arguments to the contrary, the Order does not rely upon the Order of Dismissal as either precedent or authority. Rather, the ALJ accurately noted that the Third-Party Complaint is substantially similar to the Counterclaim dismissed by Judge Chintella, and prudently reasoned that, assuming OOCL eventually effects service upon SEC, SEC will raise the question of whether the Third-Party Complaint fails to state a claim. The Order simply directs OOCL to address that ultimate question now, before the expenditure of further time and expense by the parties as a matter of prudent common sense. Nothing in the Order stated that it was predicated upon the Order of Dismissal of the Counterclaim as the law of the case, precedent or authority.

b. The Order Dismissing OOCL's Counterclaim Remains Operative¹

In any event, the Order of Dismissal of the Counterclaim remains operative. OOCL's argument to the contrary is based upon a Rule 46 C.F.R. § 502.227(a)(3) and (a)(5), which OOCL mis-cites collectively as 46 C.F.R. § 502.227(3). Regardless, Paragraph (a) of § 502.227 does not apply by its own terms.

The provisions of Paragraph (a) apply only to exceptions to an initial decision, not to an interlocutory order of dismissal. *See* 46 C.F.R. § 502.227(a)(1) (“[following] service of the

¹ SEA acknowledged otherwise in its Response to Respondent's Motion to Stay Proceedings (Doc. 44 at 6). Upon further review and analysis, that prior argument was in error.

initial decision ... a party may file a memorandum excepting [to such decision]”) and (a)(5) (“Upon the filing of exceptions to, or review of, an **initial decision**, such decision shall become inoperative until the Commission determines the matter.” (emphasis added)). Appeals of dismissals are addressed separately under § 502.227(b), which contains no provision that dismissals are inoperative upon the filing of an appeal. *See* 46 C.F.R. § 502.227(b)(1) (“If an administrative law judge has granted a **motion for dismissal of the proceeding in whole or in part**, ...”). Paragraph (b) goes on to provide that any adverse party may file and serve a reply to an appeal under Paragraph (b), and that a denial or withdrawal of a grant of intervention is deemed a dismissal. *See* 46 C.F.R. § 502.227(b)(2) and (3). Paragraph (b) has no other provisions.

Regardless of the operative nature of the Order dismissing OOCL’s Counterclaim, the issues that plagued OOCL’s Counterclaim are the same that infect its Third-Party Complaint, and the ALJ is prudent to raise them at this point, to most efficiently manage this proceeding.

CONCLUSION

In summary, SEA opposes OOCL’s Motion for Reconsideration as not being permitted by the Commission’s rules, and for lacking any substantive basis for reconsideration. The “reconsideration” that OOCL requests is, in actuality, a request that the ALJ take no action on its Third-Party Complaint until OOCL accomplishes service upon SEC (which, in any event OOCL does not appear to be pursuing). Accordingly, SEA respectfully requests that the ALJ deny Respondents’ Motion for Reconsideration and grant all such other and further relief as may be just and proper.

Dated: June 23, 2025

Respectfully Submitted,

MILLS BLACK LLP

By: /s/ **Peter F. Black**

Peter F. Black
H. Allen Black
Imran O. Shaukat
1215 19th Street, NW
Washington, DC 20036
pblack@millsblack.com
hablack@millsblack.com

*Counsel to Samsung
Electronics America, Inc.*

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

1. Office of the Secretary
Federal Maritime Commission
secretary@fmc.gov
2. Hon. Richard Ambrow - *Administrative Law Judge*
Federal Maritime Commission
Judges@fmc.gov
3. JEFFREY/FENNEMAN LAW + STRATEGY, PLLC
Counsel for Respondents
 - a. Rebecca A. Fenneman
RFenneman@JeffreyFenneman.com
 - b. Eric C. Jeffrey
EJeffrey@JeffreyFenneman.com
 - c. Kaya C. Massey
KMassey@JeffreyFenneman.com
 - d. Nicholas L. Webb
NWebb@JeffreyFenneman.com
4. Cozen O'Connor
Counsel for Respondents
 - a. Wayne R. Rohde
wrohde@cozen.com
 - b. Christopher Raleigh
craleigh@cozen.com
 - c. Rachel Schwartz
rschwartz@cozen.com
 - d. Kathryn Sobotta
ksobotta@cozen.com
5. Hohenstein & Parkinson, LLP
Specially Appearing Counsel for Third-Party Respondent
 - a. James H. Hohenstein
jim.hohenstein@hplawnyc.com

Dated: June 23, 2025

By: /s/ **Peter F. Black**

Peter F. Black
MILLS BLACK LLP
Counsel to Samsung Electronics America, Inc.